

generation *without tax consequences*. Its after-tax earnings, too, are now the property of a non-U.S. owner.

Now the family has a financial structure—and assets—beyond the U.S. tax system. It can now organize itself in a way that allows those assets to grow in a tax-advantaged way. It can pass them from one generation to the next, also without being hammered by the taxman each time the baton is passed.

Now, in this example, the \$1 million of *post-tax* tax earnings may now build up, with interest and capital gains, also free from U.S. taxes. Properly managed, they may grow free from any taxes.

But wait! Wouldn't, in the preceding example, the parents have to pay a capital gains tax on the appreciated value of the business? Well, maybe. It depends on their basis in the property. And in any case, the capital gains tax rate is much, much lower. It is only 15 percent of the appreciation of the gain. That is not 55 percent of the value of the transfer.

Readers will notice that this idea is almost the mirror image of what ambitious immigrants have done for years. Typically, a young man from Asia comes to the United States to do his studies. He establishes a toehold in America that is then used by his family. Often, the immigrant family does not move over entirely to the United States. Instead, it uses its U.S. base to hedge itself against calamities at home and give itself more opportunities abroad.

The idea of the strategy is that it leaves a family with its attachment to the U.S. intact—and with assets inside and outside of the country. This gives a family much more flexibility. Ideally, the expatriate family member also establishes a toehold overseas. Perhaps the entire family will want to expatriate some day. Who knows what might happen?

Typically, the family will want to use up assets and income in the United States and leave assets to grow overseas. The reason is simple: Accumulated wealth in the U.S. structure is subject to complex and expensive inheritance and gift rules. Outside the United States, assuming you choose your jurisdiction carefully, wealth can be transferred to the next generation simply and with no tax. It can also build up, year after year, with zero income or capital gains taxes.